



Qualification Programme Examination Panelists' Report

Module 14 – Taxation (June 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

The case questions in Section A covered topics including the determination of business income versus royalty income and the profit source, the definition of Permanent Establishment ("PE") under HK/ mainland China DTA and the ways double taxation can be relieved including tax credit calculation, Research and Development ("R&D") expenditures deduction under the IRO, general knowledge on tax issues relating to business operating in the Greater Bay Area ("GBA"), and basic knowledge of anti-money laundering ("AML") and risk awareness as a professional accountant.

The overall performance of the candidates in this section was less than satisfactory. Most candidates did not refer to the information provided in the case when applying their knowledge or coming to a solution. Also, it appears that candidates did not read the question carefully and thus did not understand the requirements of the questions. In order to demonstrate satisfactory performance on business case questions, candidates should strike a balance between demonstration of technical knowledge and delivery of specific solutions that address the problem.

Specific Comments

Question 1(a) – 4 marks

This question required candidates to extract the relevant information from the case, explain the difference between business income and royalty, and come to a conclusion. The performance of the candidates in this question was unsatisfactory. Most candidates were unfamiliar with the framework outlined in DIPN39 and failed to realise that users are only allowed to use the services offered by the mobile app but not the underlying copyrighted materials, which led to candidates coming to the wrong conclusion.

Question 1(b) – 6 marks

This question required candidates to analyse the source of business income based on the operations test. The key to success was to identify the relevant information provided in the case and apply it in the tax analysis. The performance of the candidates in this question was fair. Most candidates correctly concluded that this was an onshore operation and that server location was not a conclusive factor. However, most candidates failed to further support this conclusion by referencing the specific facts provided in the case and were thus unable to obtain higher marks.



Question 1(c) – 2 marks

This question required candidates to determine the source of the annual fee income. The performance of the candidates in this question was satisfactory. Most candidates correctly pointed out that the correct test to apply was the operations test and that the underlying services were performed outside of Hong Kong.

Question 1(d) – 6 marks

This question required candidates to demonstrate their knowledge of PE, identify the relevant information in the case that can help support the analysis, and discuss the issues around double tax relief under DTA. The performance of the candidates in this question was less than satisfactory. Most candidates discussed the service PE, but very few also identified the fixed place PE issue caused by the dedicated room in mainland China. In the second part of the question relating to double tax relief, most candidates described the tax credit relief available under the DTA but failed to further discuss the tax deduction under the IRO, which was specifically required by the question, and failed to discuss the interplay between the two methods of double tax relief once the profit source is taken into account.

Question 2(a) – 6 marks

This question required candidates to demonstrate their knowledge of qualifying R&D expenditure deduction and the application of this knowledge to this case. Again, the key to success was to identify the relevant information provided in the case and apply the same in the tax analysis. The performance of the candidates in this question was unsatisfactory. Most candidates spent too much time writing about Type A and Type B expenditures under s16B. Some candidates even went on to discuss R&D expenditures paid to institutions (which was not relevant), but they failed to question the unusual fact pattern for the “R&D coordinator” and to further challenge the validity of the deduction.

Question 2(b) – 10 marks

This question required candidates to compute the profits tax liability of a corporate taxpayer earning income subject to both Hong Kong and mainland China tax. Although the question clearly stated the requirements, few candidates realised the annual fee income was subject to tax both in Hong Kong and mainland China and hence further went on to calculate the tax credit available under the DTA. Interestingly, some candidates did not add back the accounting depreciation in the tax computation and calculated the profits tax under the 2-tier profits tax rate regime, which was specifically not required. Few candidates who did attempt the tax credit calculation managed to complete the calculation correctly. The performance of the candidates in this question was unsatisfactory.



Question 3(a) – 3 marks

This question required candidates to describe the beneficial tax treatments for Hong Kong resident relocating to and working in the GBA, which were widely published when the GBA initiative was rolled out. The performance of the candidates differed greatly, with some scoring satisfactory marks and some performing poorly. Some candidates discussed the non-taxable Hong Kong salaries tax treatments, while others discussed the normal mainland China IIT treatments on employment income and tax credit. These were irrelevant as the question specifically asked to comment on the tax incentive from the mainland China IIT perspective.

Question 3(b) – 4 marks

This question required candidates to describe the key differences between taxpayer's corporate income tax position in Hong Kong and mainland China, which is very common for a business relocation study. Surprisingly, not many candidates were able to grasp this requirement and write the relevant points. Some candidates discussed the VAT regime in mainland China, which is valid but not relevant as the question specifically confined the discussion to corporate income tax position. Candidates' performance was thus less than satisfactory.

Question 3(c) – 4 marks

This question required candidates to identify the typical transfer pricing issues applicable to the administrative service agreement, which had some unusual features like pricing methodology, excessive pricing, and weak economic substance. However, not many candidates correctly identified the above issues and highlighted the risks of a non-arm's length-related party transaction. In addition, most candidates wrote about the requirements and conditions in the IRO without applying the information specific to the case. This prevented the candidates from obtaining higher marks. Overall, the performance of the candidates was poor.

Question 4 – 5 marks

This question required candidates to show their risk awareness arising from change in the client's profile. The red flag indicators provided in the case were admission of a new shareholder who is a foreigner, his lack of interest in the business, and an unusual request for use of the Company's bank account. Most candidates pointed out the risk of tax evasion by the new shareholder, but very few went on to discuss the risk of money laundering and the need to perform customer due diligence as required under the regulations on AML. Most candidates did, however, address other relevant points like integrity, independence, and consultation with partners before engagement acceptance. Candidate performance was fair.



(II) Section B – Essay/Short Questions

General Comments

The questions in this section covered a wide range of topics, including stamp duty on property transactions and property tax on leasing of property, eligibility for electing personal assessment, chargeability of an ex-gratia payment to salaries tax, and chargeability of revaluation gains on listed trading securities to profits tax. Candidates scored satisfactory marks in computational questions and those that covered general tax knowledge and frequently encountered scenarios. However, performance on qualitative analysis with reference to practical circumstances was consistently below standard. Candidates should improve their analytical skills in order to perform better in questions that require in-depth application of tax principles to the scenarios in the questions.

Specific Comments

Question 5(a) – 6 marks

This question required candidates to explain and calculate the stamp duty payable by the individual in question. This was a relatively straightforward question, and overall performance in this question was very good. Most candidates were able to achieve high or full marks.

Question 5(b) – 9 marks

This question required candidates to compute the property tax payable by the individual in question for the years of assessment 2018/19 and 2019/20. This was a typical property tax computational question, but the candidates' performance was slightly below expectation. Many candidates did not identify, or wrongly calculated the amounts of, the irrecoverable rent, deductible rates, and/ or rent recovered in the computation. Some candidates wrongly calculated the consideration receivable that was subject to property tax, or wrongly treated the rent paid in advance as premium. A few candidates failed to use the correct tax rate to calculate the property tax payable.

Question 6 – 15 marks

This question required candidates to prepare a memo to the individual in question to advise on, with reference to the relevant legal principles, whether she is eligible to elect for personal assessment for the years of assessment 2017/18 and 2018/19. Candidates' performance in this question was fair. Most candidates were aware of the regulatory change with respect to personal assessment effective 2018/19 and the conditions required for electing personal assessment. However, quite a number of candidates mixed up "permanent resident" with "ordinarily resident" or did not understand the legal meaning of "living apart" and thus made incorrect analyses or conclusions. Some candidates did not discuss the implications for 2017/18 and 2018/19, respectively, as required by the question. Some candidates discussed irrelevant matters such as allowances and deductions.



Most candidates followed the question requirement to use the memo format to present their answers and scored marks for demonstrating communication competency. Nevertheless, consistent with previous examination sessions, candidates showed weak critical analysis skills in applying the relevant legal principles to the facts set out in this question and thus failed to score marks in this regard.

Question 7 – 12 marks

This question required candidates to analyse, with reference to the relevant provisions of the IRO and legal principles, whether the ex-gratia payment in question should be chargeable to salaries tax. Candidates' performance in this question was fair. Most candidates referred to the relevant provisions (s.8(1)(a) and s.9(1)(a)) and the Fuchs case when answering the question. Most candidates also stated that the ex-gratia payment had been computed with reference to the individual's years of service and thus should be taxable. However, few candidates pointed out that the employer in question had not breached any employment terms and that there was no evidence to indicate the ex-gratia payment was compensation for the employee surrendering pre-existing contractual rights. Some candidates spent time discussing irrelevant matters such as the exemption sections (s.8(1A)(a) or s.8(1B)) or the applicability of s.11D, etc. Some candidates confused the tax treatment on the ex-gratia payment with those on notice pay, severance pay, or long service payments under the Employment Ordinance.

Question 8 – 8 marks

This question required candidates to advise on, with reference to the relevant provisions of the IRO and legal principles and the measures announced by the IRD, whether the gains arising from revaluation should be offered for assessment in the years of assessment 2017/18 and 2018/19. Candidates' performance in this question was unsatisfactory. Many candidates did not attempt to answer the question or only wrote short answers. While some candidates correctly identified the topics tested, i.e., the Nice Cheer case and the new provisions s.18G to s.18L, many candidates did not point out the "interim measures" implemented by the IRD for the years of assessment 2013/14 to 2017/18. Some candidates provided irrelevant answers such as application of the six badges of trade, source of income principle, or imposition of penalties, etc.



(III) Conclusion and Recommendation

Similar to previous sessions, candidates performed better in computational questions, but analytical questions, in particular those involving in-depth analysis, remained a challenge for most candidates. To obtain better results, candidates should read the questions carefully in order to avoid confusion. For analytical questions, especially those allocated substantial marks, candidates should construct a comprehensive skeleton and develop their answers beginning with the relevant legal principles which are generally allocated marks, particularly those well-established in the courts' judgments. They should then apply the legal principles to the facts set out in the questions clearly and logically. Conclusions should be made based on this analysis.

Candidates should also manage time allocation properly, attempt all questions, and avoid spending excessive time on copying substantial material from their Learning Pack without effective analysis.